Introduction to China's Financial System

LECTURE 12 COMMERCIAL BANKS IN CHINA

Commercial Bank

- What is a commercial bank?
  - also known as a money deposit bank, is a financial institution which accepts deposits from the public and gives loans for the purposes of consumption and investment to make profit.

- The IMF defines commercial banks as deposit money banks, namely financial intermediaries that create deposit money.

- In the West, deposit money banks are called "commercial banks", "deposit banks", "general banks" and so on.

Commercial Bank

- In China, deposit money banks include:
  - state-owned commercial banks
  - joint-stock commercial banks
  - urban commercial banks, urban credit cooperatives
  - rural commercial banks, rural credit cooperatives
  - finance companies

Commercial Bank

- Characteristics
  - It absorbs demand deposits and creates money credit.
  - not only the suppliers of funds, but also the demanders of funds.
  - almost participate in all the activities of the financial market.

- Goals and Objectives
  - Commercial banks carry out comprehensive management of their assets and liabilities, and achieve the purpose of maintaining and increasing the value of their assets by seeking a reasonable structure of assets and liabilities.

Commercial Bank

- Traditional and New business
  - Not only traditional deposit and loan now.
  - With the development of the financial market and the relaxation of financial regulation, commercial banks have developed new businesses that are more dependent on the financial markets.

The role of commercial banks

- Commercial banks are important to the economy because they create capital, credit, and liquidity in the market.

- Some of the prominent roles of commercial banks:
  - (1) Acting as <u>credit intermediaries</u> between firms, which helps to make full use of existing monetary capital.
  - (2) Acting as a <u>payment intermediary</u> between firms, thereby speeding up capital turnover.
  - (3) <u>Transforming the savings into capital</u>, which can expand the total amount of social capital.
  - (4) <u>Creating credit circulation tools</u>.

The history of commercial banks

The ancient money exchange industry

- In ancient times, money exchang industry developed successively in China.
- Main functions of ancient money exchange institutions
  - Identification and exchange of coins and metal pieces of money兑换;
  - Currency custody保管;
  - Exchange (remittance)汇兑.
- The record of government lending institutions in China is relatively early.
  - A large number of records about the silver exchange industry began in the Tang Dynasty in 850s. As for the exchange business, it was not only operated by merchants, but also by the government.
  - After the Song and Yuan dynasties, to the Ming and Qing dynasties, silver banks and ticket banks rose successively. However, it has not been able to leap to modern banking.

The emergence of modern banking

- Modern banking emerged in the West. The first credit institution named "bank" in history is the Bank of Venice established in Italy in 1580.
  - However, banks at that time (Age of Exploration) were only engaged in overseas trade and high-interest loans to the government.

- The first modern bank in the world is the Bank of England established in 1694.
  - The first bank to issue banknotes.
  - Its main business: financing the government, issuing banknotes, holding government bonds, providing loan services, bill business.
  - Its formal discount rate was initially set at 4.5 to 6 percent, much lower than the lending rates of early banking.

The emergence of modern banks in old China

- In 1845, the first new bank emerged in China – the British Oriental Bank.
- The Oriental Bank opened branches in Hong Kong (1845) and Shanghai (1847). It was the first modern commercial bank in China. (It was closed in 1892.)
- At the end of the 19th century, other British banks and banks from other countries set up branches in China.
- Founded in 1864, HSBC, with its head office in Hong Kong, set up a branch in Shanghai in the same year, was the first foreign bank to set up its head office in Chinese territory.
- By the end of the Qing Dynasty, foreign capital had set up more than 60 banks with more than 200 branches in China.

The emergence of modern banks in old China

- In 1897, China’s first self-established modern bank, the Bank of Commerce of China, (中国通商银行) was established by Qing officials in Shanghai.
- In 1904, the government and business jointly established the “Daqing Bank of Treasury” (renamed “Daqing Bank” in 1908, after the 1911 Revolution, Daqing Bank was restructured into “Bank of China”, which has been used to this day) in Beijing. It is the earliest national bank in China.
- In 1907, the Bank of Communications was established.
- At the same time, national capital commercial banks were successively established.

Banking industry during the Republic of China

- After 1927, during the administration of the Kuomintang, the major commercial banks were the four major state-owned banks (the Central Bank, the Bank of China, the Bank of Communications and the Farmers Bank); There were a large number of small and medium-sized commercial banks, provincial banks and local banks.
- China's financial industry entered a prosperous period.
- At that time, however, banks could issue banknotes, and a variety of different silver yuan, copper coins and various banknotes circulated in the market.
- The monetary system was very chaotic.
- In 1935, the Kuomintang government began to carry out financial reform and implement the "legal currency policy". It abandoned the silver standard, banned the circulation of silver, and stipulated that the notes issued by the state-owned banks were legal tender. This was a milestone in the history of Chinese currency, and China entered the era of paper money for the first time.

Early banks of the Communist Party of China

- In 1928, the Haifeng County Soviet People's Committee established the Labor Bank, which was the earliest bank established by the Communist Party of China.
- In 1932, the Chinese Soviet State Bank was established at Ruijin, Jiangxi Province, the CEO was Mao Zeming, older brother of Mao Zedong.
- After the Long March reached northern Shaanxi, it merged with the Shaanxi, Gansu and Shanxi Soviet Bank. During the War of Resistance against Japanese Aggression, it was changed into the Bank of the Shaanxi-Gansu-Ningxia Border Region.
- During the Civil War, the banks in the base areas were gradually unified.
- In 1947, the Bank of the Shaanxi-Gansu-Ningxia Border Region was merged with the Northwest Farmers Bank. In November of the same year, Shijiazhuang was liberated and the banks of two areas were merged into the North China Bank.
- In 1948, the People's Bank of China was established on the basis of the North China Bank.

Current commercial banking system in China

- Types of commercial bank
  - 1. State-controlled joint-stock commercial banks
  - 2. Joint-stock commercial banks
  - 3. City commercial banks
  - 4. Rural commercial banks
- By 2023, in China, there are
  - 6 state-owned commercial banks (China, Agriculture, Industry, Construction, Communications, Savings)
  - 12 joint-stock commercial banks (CITIC, China Merchants, Everbright, Minsheng, Pudong Development, Ping An, Huaxia, Guangfa, Xingye(Industrial), Zheshang, Hengfeng, Bohai,etc.)
  - About 125 city commercial banks
  - About 1600 rural commercial banks

State-controlled joint-stock commercial banks

- Wholly state-owned commercial banks evolved from a unified one-bank system under the planning system.

- Features:
  - The government has a controlling stake in state-owned commercial banks (more than 50% shares);
  - The capital is mainly allocated by the government;
  - The senior management personnel of the bank are appointed by the government.

- In 2002, the National Financial Work Conference proposed the shareholding reform of wholly state-owned commercial banks.

✓ Nowdays, China has Big Six state-owned banks.

Big Six state-owned banks (4+2)

- Old Big Four
  - Industrial and Commercial Bank of China (ICBC)
  - Bank of China (BOC)
  - China Construction Bank (CCB)
  - Agricultural Bank of China (ABC)

- New Big Two
  - Bank of Communications (BCM)
    - Founded in 1908. It is one of the four early banks in China, and one of the oldest banks in China. On April 1, 1987, after the reorganization of the Bank of Communications officially opened for business, becoming China's first national state-owned joint-stock commercial bank.
  - Postal Savings Bank of China (PSBC)
    - Established on March 20, 2007. It is a state-owned commercial bank established on the basis of the reform of the postal savings management system.

Old Big Four Banks

- Division of work among the Big Four major commercial banks:
  - Industrial and Commercial Bank of China: mainly undertakes urban industrial and commercial credit business to meet the working capital needs of enterprises.
  - Bank of China: Mainly engaged in foreign exchange business.
  - China Construction Bank: mainly engaged in medium and long-term loans.
  - Agricultural Bank of China: Mainly engaged in rural credit business.
- Big Four commercial banks are directly controlled by the state (Ministry of Finance, Central Huijin Corporation) and are the main body of China's financial system:
  - They are responsible for about 90% of the financing function of the whole society
  - Assets accounts for 55% of total bank assets
  - Deposit-taking accounted for 57% of total deposits in the banking sector
  - Lending accounts for 55% of total banking sector loans
  - It undertakes about 80% of the payment and settlement

Joint-stock commercial banks

- Definition: a commercial bank initiated and established by raising share capital.
- Features: All adopt the head office and branch system, set up head office in a big city, and then set up branches in other large and medium-sized cities across the country.
  - For example, the head office of the Bank of Communications is located in Shanghai, and has branches in any major city in the country.
- On April 1, 1987, the reorganized Bank of Communications (BOCOM,or BCM) officially opened for business, becoming the first national state-owned joint-stock commercial bank in China.
- Other commercial banks are now in the form of shareholding, some of which have been listed, and most of them are dominated by various forms of state-owned capital. There are also joint-stock commercial banks with foreign shares.

Joint-stock commercial banks

- ✓ By the end of 2023,there are 12 national joint-stock commercial banks in China:
  - China Merchants Bank
  - Shanghai Pudong Development Bank
  - Citic Bank
  - China Everbright Bank
  - Huaxia Bank
  - China Minsheng Bank
  - Guangfa Bank
  - Industrial Bank
  - Ping An Bank
  - Zheshang Bank
  - Hengfeng Bank
  - Bohai Bank

City Commercial Banks

- In 1995, about 5,000 urban credit cooperatives in China were reorganized. On the basis of property verification and capital verification, urban cooperative banks were established by absorbing shares from local finance and enterprises.
- In 1998, all urban cooperative banks were renamed as city commercial banks.

- Main business: SME loans, agency collection and payment, financial management, cash management and other intermediary services.

- ✓ As of the end of 2023, there were 125 city commercial banks in China.

Rural commercial banks

- Rural commercial bank, is a joint-stock local financial institution composed of farmers, rural industrial and commercial households, enterprise and other economic organizations. Its predecessor is rural credit cooperatives.
  - In July 2000, The State Council approved Jiangsu Province to carry out pilot reform, set up provincial joint cooperatives, and pilot rural commercial banks.
  - In 2001, Changshu Rural Commercial Bank, Zhangjiagang Rural Commercial Bank and Jiangyin Rural Commercial Bank were established.
  - In June 2003, The State Council issued the Notice on Deepening the Pilot Reform of Rural Credit Cooperatives, encouraging qualified regions to transform rural credit cooperatives into joint-stock commercial banks.
- ✓ As of 2023, among more than 4,500 banking financial institutions in mainland China, there are about 1,600 rural commercial banks.

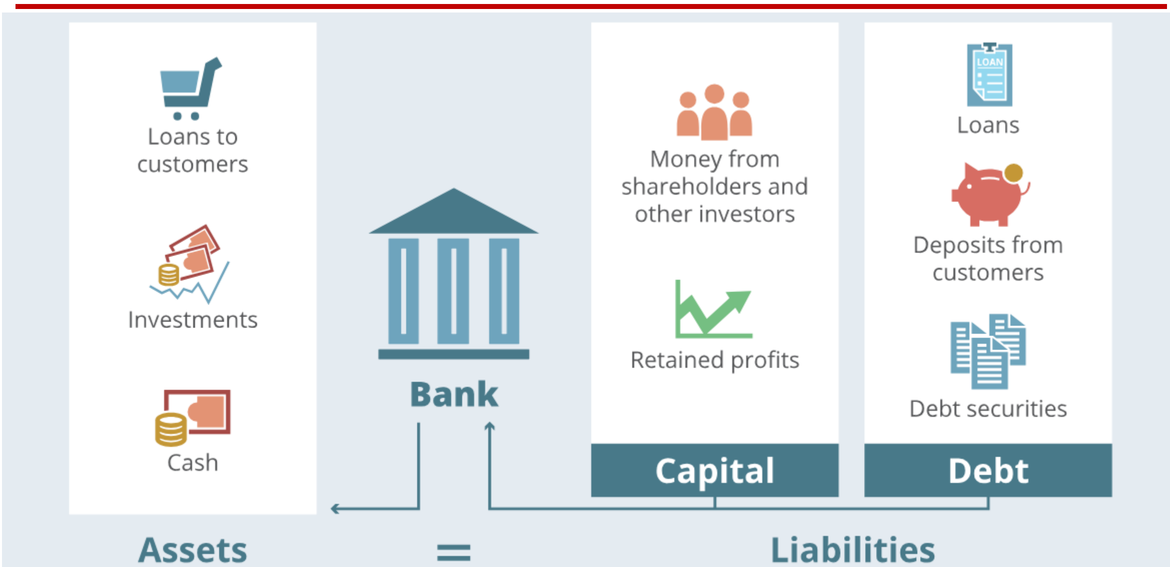
Credit cooperatives

- Definition: A credit union is a cooperative financial organization composed of individuals who raise funds and provide financial services to the society with simple procedures and appropriate interest rates for the main purpose of mutual assistance.
  - Main service objects: self-employed private star-ups or small enterprises in development.
  - Main source of funds: shares paid by members and deposits absorbed.
  - Loan business: used to meet the financial needs of its members.
- Classification: Urban credit cooperatives and rural credit cooperatives
  - Urban credit cooperatives: financial organization established by urban residents raising funds to provide credit services for urban small business and households. All were incorporated into city commercial banks.
  - Rural credit cooperatives: financial organizations established by farmers, rural collective organizations and employees of rural credit cooperatives. As of 2023,there are around 500 rural credit cooperatives.
- Main business: handling personal savings, the deposit and loan business of members, commercial households and cooperative economic organizations, acting as an agent for bank entrustment business and handling other approved business.

Basic business of commercial banks

- Liability business (raise funds)
- Asset business (use funds to make profit)
- Intermediary business (entrusted matters on behalf of a client to make profit)

A bank's balance sheet



Liability business

- The liability business refers to the business to raise operating funds.
- It mainly includes capital business, deposit business and loan business.
- Sources of funds:
  - (1) Capital
  - (2) Deposit (Debt, passive liabilities)
  - (3) Non-deposit loan from other financial institutions (borrowing, active liabilities)

- Liabilities are like raw materials in the operation of enterprises. Banks cannot carry out credit activities without liabilities.

Capital business of commercial banks

- The capital sources of commercial banks mainly include: share capital and retained earnings, issuing bank subordinated bonds.
  - Bank subordinated bonds refer to a special form of debt whose repayment order is better than that of bank equity, but lower than that of bank general debt (including senior debt and guaranteed debt).

- The capital of a commercial bank consists of two layers of capital.
  - The first layer, **core capital**: consists of common stockholders' equity, some type of preferred stock.
  - The second layer, **supplemental capital**: includes provisions for bad debts on loans, some type of preferred stock, perpetual debt, hybrid capital instruments, or subordinated bonds.

Deposit business of commercial banks

- Deposit service refers to a credit service in which a bank accepts money deposited by customers and the depositor can withdraw the money at any time or at an agreed time.

- The deposit business mainly includes
  - Savings deposits of residents
  - Deposits of enterprises and institutions

- The deposit business is the traditional business of banks, and deposits are the main source of funds for the operation of commercial banks.

Borrowing business of a commercial bank

- There are many kinds of borrowing business:
  - Borrowing from the central bank
  - Borrowing in the interbank market
  - Repo transactions in financial markets and so on.

Borrowing from the central bank

- Commercial banks borrow from the central bank for the primary and immediate purpose of alleviating temporary shortfalls in their own funds.

- Borrowing from the central bank takes two main forms:
  - Re-discount, which means reselling to the central bank the unmatured bills purchased through discount business;
  - Borrow directly, using the securities held as collateral to obtain mortgage loans from the central bank.

Borrowing from interbank lending

- Interbank lending refers to the financing between banks.
- Banks borrow funds mainly to meet their temporary capital turnover needs, generally short-term. (one night to a week)
- The interest rate of interbank lending is generally low.

Borrowing from money markets

- Banks raise funds in the money market by issuing certificates of deposit, selling commercial papers, bank acceptance notes, and issuing bonds.
- This method is conducive to obtaining funds, but it is also a vulnerable link to shocks.

Borrowing from settlement funds

- Funds in the process of settlement refer to the funds that can be occupied by customers in the process of handling transfer and settlement for customers.
- Although the time occupied is very short, due to the huge turnover amount, the amount of funds occupied is considerable.
- At any point in time, there is always a certain amount of funds in the process of settlement, which constitutes the source of funds available to the commercial bank.

Borrowing by issuing financial bonds

- Issuing bonds is also the liability business of deposit-money banks.
- Since 1985, China's commercial banks, in accordance with relevant state regulations and with the approval of the People's Bank of China, could issue financial bonds to the public to raise funds for designated purposes.

Asset business of commercial banks

- The assets of commercial banks can be classified in two ways:
  - 1. Classification based on balance sheet
    - Current assets, refer to highly liquid assets, including cash, deposits with the central bank, deposits with other banks, short-term loans, short-term investments (due within one year).
    - Long-term assets, refer to various assets with maturities of more than one year, including medium and long-term loans, overdue loans, long-term investments, fixed assets and other long-term assets.
  - 2. Classification based on operations
    - Cash assets
    - Loan assets
    - Securities assets
    - Fixed assets
    - Foreign exchange funds

Asset business

- (1) Cash assets business
- (2) Loan assets business
- (3) Securities investment

Composition of cash assets

- Cash on hand
  - notes and coins kept in bank vaults to meet daily cash receipts and payments activities.
- Legal reserve
  - the amount deposited with the central bank in accordance with the statutory reserve ratio.
- Excess reserve
  - deposited with the central bank but can be used independently, mainly for transfer settlement, payment of exchange difference of bills, granting of loans and adjustment of cash balance on hand.
- Interbank deposits
  - funds deposited by a bank in other banks, mainly for the convenience of inter-bank settlement, and the development of mutual agency business, and can be used by banks at any time.
- Funds in transit
  - checks that the bank is required to collect from other banks during the settlement process. The amount contained in the checks is called funds in transit before it is transferred to the bank's receiving account.

The role of cash assets in commercial banks

- Maintain pay ability or liquidity
  - Commercial banks must maintain a certain amount of cash assets that can be directly used to meet withdrawals, loan requirements at any time, and to meet the needs of any payment such as to repay debts.

- Note: Cash assets are a kind of non-profit assets, and banks should try to reduce the proportion of cash assets in total assets.

The main asset business of commercial banks

- Commercial loan
  - A business in which banks lend the funds they absorb to customers at a certain interest rate and repay them on a scheduled basis.
- Bill discount
  - A business in which commercial banks purchase bills with discount before the date of payment according to the requirements of customers.
- Securities investment
  - The business activities in which commercial banks purchase securities.
- Financial leasing
  - Commercial banks, as lessor, provide customers with financing services in the form of leases, including financing leases and operating leases.

Intermediary business

- Intermediary business refers to the activities in which a bank provides various financial services to its customers and make profits by taking advantage of its own convenience without using its assets.
- Intermediate business is also known as "off-balance-sheet business".
- Income: fee income.

- Intermediary business includes: exchange business, trust business, agency business, settlement business, leasing business and credit card business.

The intermediary business of commercial banks

- (1) Settlement business结算业务
  - Settlement business refers to the settlement and clearing of the receipt and payment of money generated by the economic transactions of the bank at the request of the customer, such as bank draft, commercial bills, checks.
- (2) Trust and agency business信托与代理业务
  - Trust business: the bank is entrusted by the client to manage, operate and handle the business related to money. It includes trust services to individuals and corporations.
- (3) Leasing business租赁业务
  - Banks advance funds, purchase commodities and then lease them to the lessee, and recover the funds in the form of rent.
- (4) Exchange business汇兑业务
  - The business of a bank remitting cash to a payee in another place on behalf of a customer.
- (5) Credit card business信用卡业务
  - Credit card is a transaction tool of consumer credit.
- (6) Letter of credit信用证业务
  - Letter of credit is the business in which payment is guaranteed by the bank. In purchasing from other places, especially in international trade, L/C for commodities is widely used.

Operating principles of commercial banks

- A commercial bank makes profits by providing financial services.
- The operating principles of commercial banks
  - **Profitability**, **Liquidity** and **Security**.
- It is difficult to balance between making profit and meeting requirements.

(That is why banks should be strictly regulated)

- The operation/management theory of commercial banks has experienced three stages of evolution:
  - asset management
  - liability management
  - integrated asset and liability management

Asset management

(1) The unified management principle of profitability, liquidity and security.

- Profitability principle: banks should strive to achieve the goal of profit maximization in operation.
  - Practice: Engage in credit and securities investment assets business with higher returns and lower risks.
  - First, it is conducive to the bank to enrich capital, enhance strength, consolidate credit, improve competitiveness;
  - The second is to realize the interests of shareholders and stabilize core capital;
  - Thirdly, to ensure the sustainable development of the bank, which is the internal driving force for improving service quality.
- Liquidity principle: it refers to the ability of commercial banks to maintain access to funds at appropriate prices at any time, so as to meet customers' withdrawal, payment or loan needs at any time.
  - Criteria for measuring asset liquidity:
  - One is the cost of liquidating assets. The lower the cost of liquidating an asset, the more liquid it is.
  - The second is the speed of asset liquidation. The faster the asset is liquidated, the stronger its liquidity.
- Security principle: commercial banks should not only ensure the safety of their own assets, but also ensure the safety of customers' assets, so that customers have firm trust in the bank.
  - The performance of security:
  - First, the bank's creditor's rights and related profitable assets must be recovered on schedule, and strive to avoid bad debt losses and capital can not be returned on schedule.
  - Second, depositors and other creditors must repay the principal and interest in accordance with the contract to ensure that they can withdraw cash at any time.

Asset management

(2) Loan quality management

- The 5-level classification of loan quality:
  - Normal loan: it means that the borrower can fulfill the contract and the loan principal and interest can be repaid on time.
  - Concerned loan: refers to the borrower is currently able to repay the loan principal and interest, but there may be some factors that adversely affect the repayment of the loan principal and interest.
  - Subprime loan: refers to the borrower's repayment ability has obvious problems, relying solely on its normal operating income is no longer able to repay the loan principal and interest in full.
  - Doubtful loan: The borrower is unable to repay the principal and interest of the loan, and the size of the loan loss depends on the implementation of the guarantee and the final liquidation.
  - Loss-making loans: loans where the principal and interest cannot be recovered or little is recovered after all possible measures or all necessary legal procedures have been taken.
- Meaning:
  - It is beneficial to strengthen the risk management of loans and improve the quality of loans.
  - It is conducive to the effective supervision of banks by the financial regulatory authorities.
- Before 1998, according to the classification of loan liquidity management objectives: normal loans, overdue loans, bad loans, bad debt loans.

Liability management

- The basics of debt management: how to get a relatively stable source of funds at a lower cost.
- Channels
  - Passive liability → Deposit taking
  - Active liabilities
    - Borrowing from the central bank
    - Borrow in the interbank lending market
    - Issuing financial bonds, etc
- The key to management: how to absorb more deposits; Diversified ways of financing, reducing the cost of active debt.

The management of China's commercial banks

- Management mode:
  - Before the late 1980s, China implemented the loan scale management.
  - Since 1994, asset-liability ratio management has been fully implemented.

Asset-liability ratio management

- Legal Basis and Regulatory Requirements
  - The "Commercial Bank Law of the People's Republic of China" clearly stipulates that commercial banks' lending should comply with the relevant requirements of asset-liability ratio management.
  - For example,
    - the capital adequacy ratio shall not be lower than 8%;
    - the ratio of the balance of liquid assets to the balance of liquid liabilities shall not be lower than 25%;
    - the ratio of the loan balance to a single borrower to the capital balance of a commercial bank shall not exceed 10%.
  - The "Commercial Bank Law" provides a legal foundation for the banking industry to implement asset-liability ratio management.

Asset-liability ratio management

- Specific Implementation
  - **Management of Capital Adequacy Ratio**: Banks are required to calculate and maintain the capital adequacy ratio in accordance with regulations.
  - **Management of Loan-to-Deposit Ratio**: Banks need to pay attention to the loan-to-deposit ratio situation and reasonably control the ratio between the loan scale and the deposit scale to maintain the liquidity and stability of funds.
  - **Liquidity Risk Management**: Banks need to ensure that the ratio of the balance of liquid assets to the balance of liquid liabilities meets the requirements.
  - **Credit Risk Management**: Banks need to control the loan concentration to individual and group customers to avoid excessive concentration risks and ensure asset quality.

PERFORMANCE ANALYSIS OF CHINESE COMMERCIAL BANKS

Performance Analysis

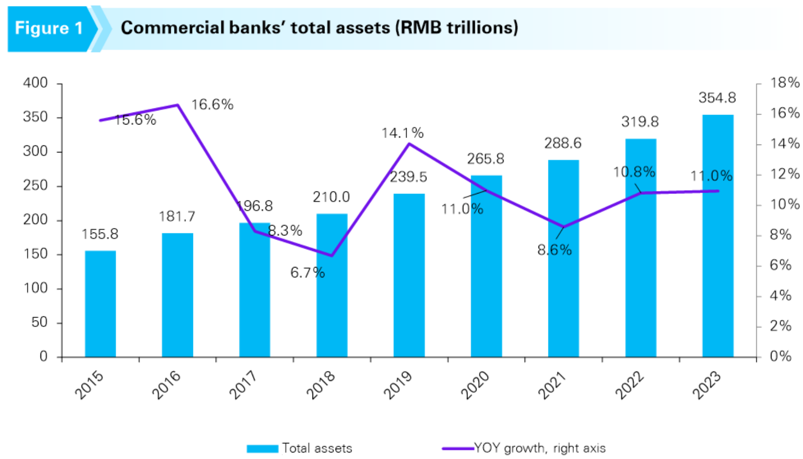
- Asset perspective
- Liability perspective
- Profit perspective

Asset perspective

- Total assets grow steadily, albeit at a slower rate than in the previous year.
- Loans in 2023 were channeled to corporate clients at the expense of individuals.
- Inclusive loans granted to small and micro enterprises, and green loans, maintain strong YOY growth, while personal housing loans turn negative for the first time.
- The overall non-performing loan (NPL) ratio of banks continues to decline, and risk mitigation capabilities remain reasonable.
- Financial investments continue to grow, with banks holding a generally stable structure of bonds.

Commercial banks’ total assets

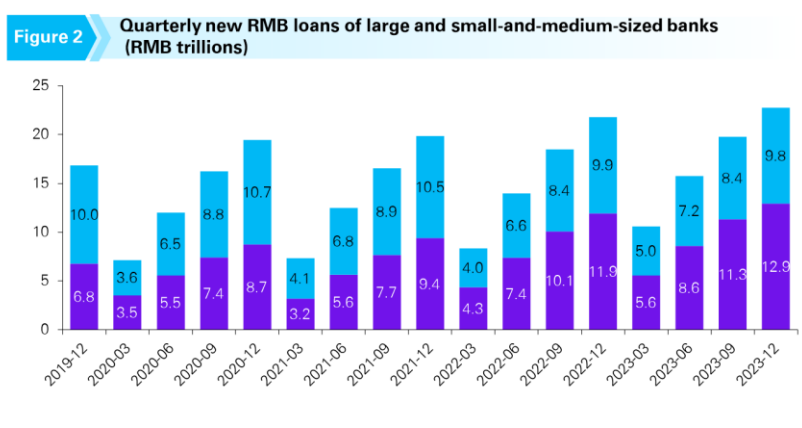
- Total assets grow steadily.
- At the end of 2023, the total assets of commercial banks stood at RMB 354.8 trillion, up 11.0% YOY.
- The steady growth in the total assets of commercial banks points to the general stability of the banking sector (Figure 1).



Source: Wind and KPMG analysis

New RMB loans of commercial banks

- The rapid expansion in commercial banks' total assets was mainly driven by an upswing in bank loans.
- Statistics show that, at the end of 2023, total accumulated new RMB loans by financial institutions stood at RMB 22.7 trillion, up by RMB 0.9 trillion or 4.3% YOY.



Source: Wind and KPMG analysis

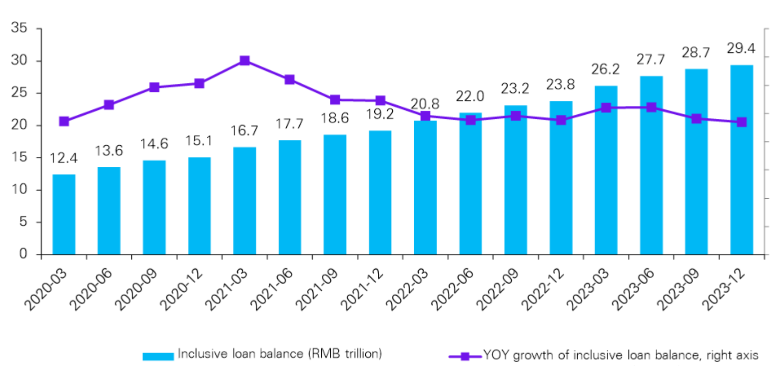
Loans business

- Over recent years, China has accelerated the transformation of its economic structure and continually optimized its credit supply structure, resulting in strong YOY growth in new types of loans such as inclusive loans granted to small and micro enterprises, and green loans, with a slower growth rate in traditional types of loans such as real estate loans and loans to local government financing vehicles.

Loans granted to small/micro enterprises

- At the end of 2023, the balance of inclusive loans granted by financial institutions to small and micro enterprises stood at RMB 29.4 trillion, representing a YOY increase of 23.5%.
- In 2023,accumulated new inclusive loans amounted to RMB 5.6 trillion, representing an increase of about RMB 1trillion from 2022.

Figure 4 **Quarterly balance of inclusive RMB loans granted by financial institutions to small and micro enterprises**

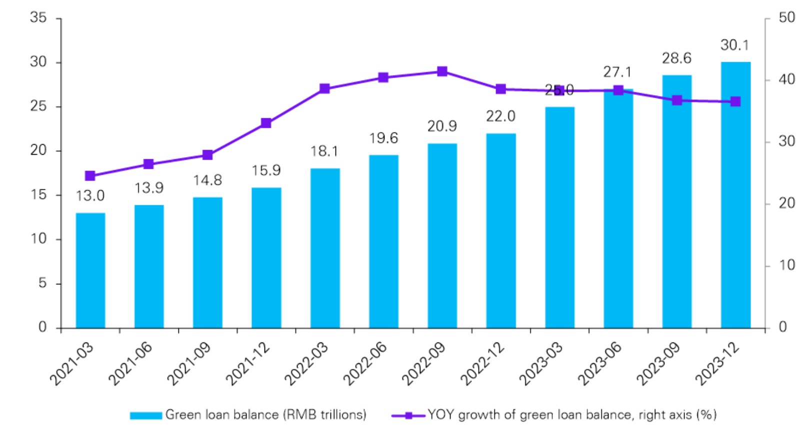


Source: Wind and KPMG analysis

Quarterly balance of green loans

- In terms of green loans, the balance of green loans at the end of 2023 stood at RMB 30.1 trillion, representing YOY growth of 36.5%.
- In 2023, new green loans amounted to RMB 8.1 trillion (Figure 6).
- The expansion was bolstered by China's determination to achieve the "dual carbon" goals.

Figure 6 **Quarterly balance of green loans**

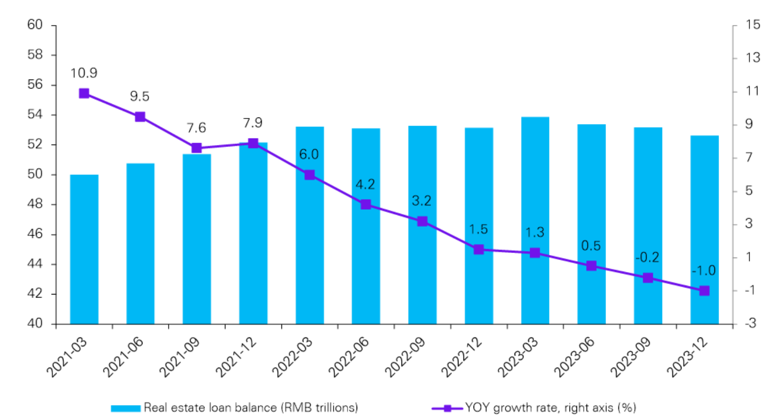


Source: Wind and KPMG analysis

Quarterly balance of real estate loans

- The balance of real estate loans at the end of 2023 was RMB 52.6 trillion, representing a YOY decline of 1.0% (Figure 8).
- In 2022, the real estate market was experiencing an adjustment cycle, with both real estate investment and sales remaining sluggish. Real estate development investment fell by 9.6% YOY while the floor area of commercial housing sold fell by 8.5% YOY.

Figure 8 **Quarterly balance of real estate loans**

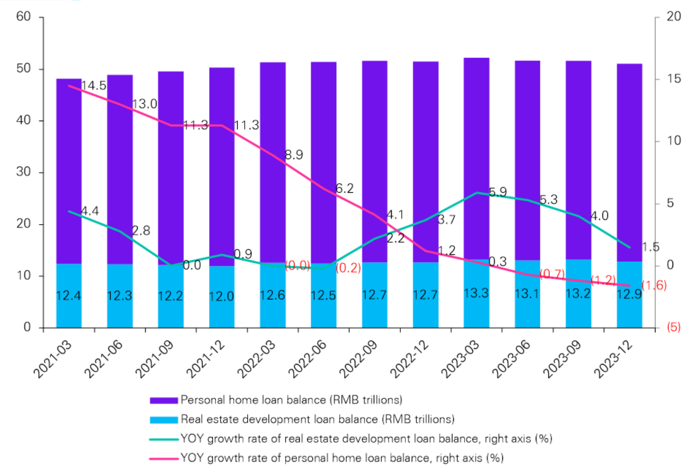


Source: Wind and KPMG analysis

Balance of personal home loans

- The balance of personal home loans at the end of 2023 stood at RMB 38.2 trillion, representing a YOY decline of 1.6%. This is the key factor driving negative growth in the balance of real estate loans.
- In 2023, the balance of personal home loans contracted for the third consecutive quarter, by 0.7%, 1.2% and then 1.6%. This is the first time this figure has contracted since it was first published in 2004.

Figure 9 Quarterly balance of real estate development and individual housing loans



Source: Wind and KPMG analysis

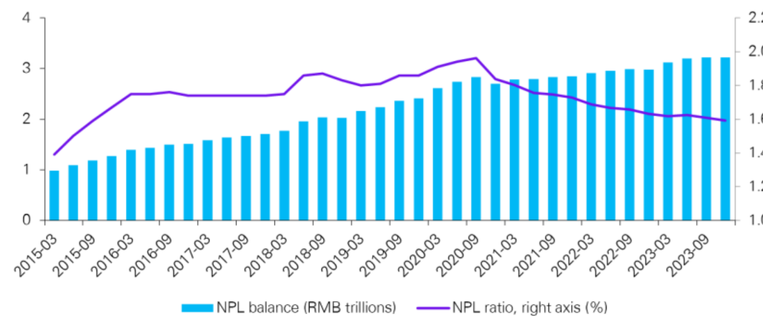
Non-performing loans (NPLs)

- The overall non-performing loan (NPL) ratio of banks continues to decline, and risk mitigation capabilities remain reasonable.

Quarterly balance and ratio of NPLs

- At the end of 2023, the total balance of NPLs for commercial banks stood at RMB 3.2 trillion, representing a slightly quicker YOY growth of 8.14%, while the NPL ratio stood at 1.59%, marking 13 consecutive quarters of decline, indicating that commercial banks have strengthened the disposal of NPLs.

Figure 10 Quarterly balance and ratio of non-performing loans of commercial banks

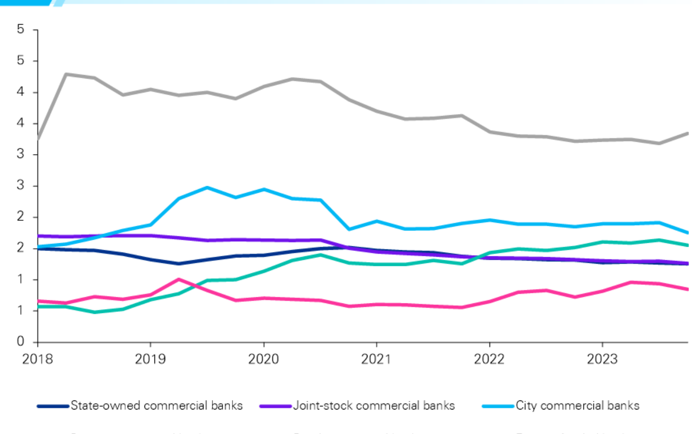


Source: Wind and KPMG analysis

NPL ratios of different commercial banks

- Among the different types of banks, the NPL ratios of city commercial banks and rural commercial banks remained relatively high, at 3.34% and 1.75% respectively. However, the NPL ratio of rural commercial banks has decreased significantly in recent years.
- State- owned commercial banks and joint-stock commercial banks have maintained relatively low NPLratios with stability and reduction.

Figure 11 Quarterly non-performing loan ratios of different commercial banks[3] (%)



Source: Wind and KPMG analysis

Financial investments

- Financial investments continue to grow, with banks holding a generally stable structure of bonds. Financial investments account for the second largest component of commercial banks' assets after loans.

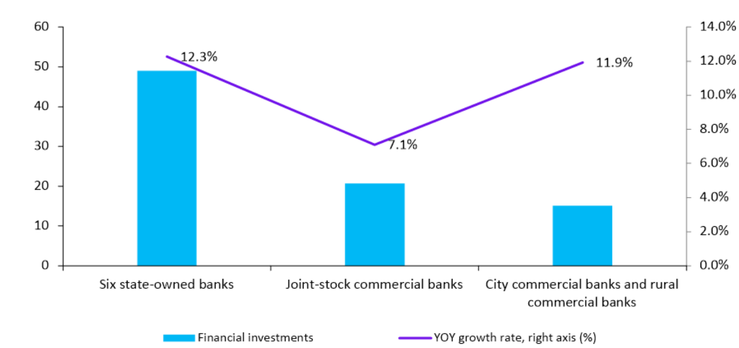
- In 2023, the financial investments of 58 listed banks (including six state-owned commercial banks and joint- stock commercial banks) accounted for a total balance of RMB 84.8trillion,representing YOY growth of RMB 8.3 trillion or 10.9%.

- The growth of financial investments is mainly due to banks expanding investment in treasury bonds, local bonds, green bonds, and engaging in other investments that support the development of the real economy.

Financial investments of listed banks

- the total balance of financial investments of the six state-owned commercial banks was RMB 49.0 trillion, a YOY growth of RMB 5.35 trillion or 12.3%.
- The total balance of joint-stock commercial banks was RMB 20.6 trillion, a YOY growth of RMB 1.37 trillion or 7.1%.
- The total balance of city and rural commercial banks was RMB 15.1 trillion, a YOY growth of RMB 1.61 trillion or 11.9%.

Figure 16 **Financial investments of listed banks (RMB trillions, %)**

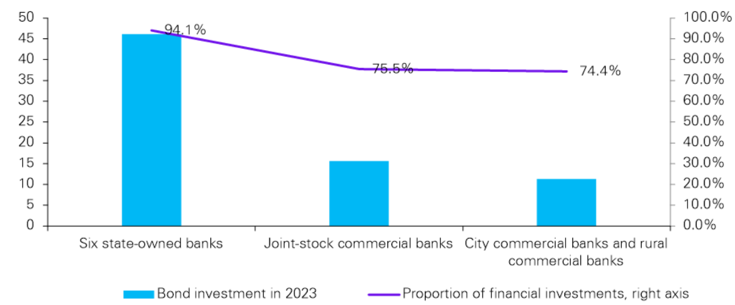


Source: Summarised findings from listed banks' 2023 annual reports, and KPMG analysis

Bond investments of listed banks

- Among the 58 listed commercial banks, bond investments reached RMB 73.0 trillion in 2023, accounting for 86% of their financial investments, maintaining the upward trend.
- Bond investments of the six state-owned commercial banks and city commercial banks and rural commercial banks accounted for 94% and 74% of the banks' financial investments, up 0.8%and 5.3% YOY, indicating a more conservative investment style.

Figure 17 **Bond investments of listed banks (RMB trillions, %)**



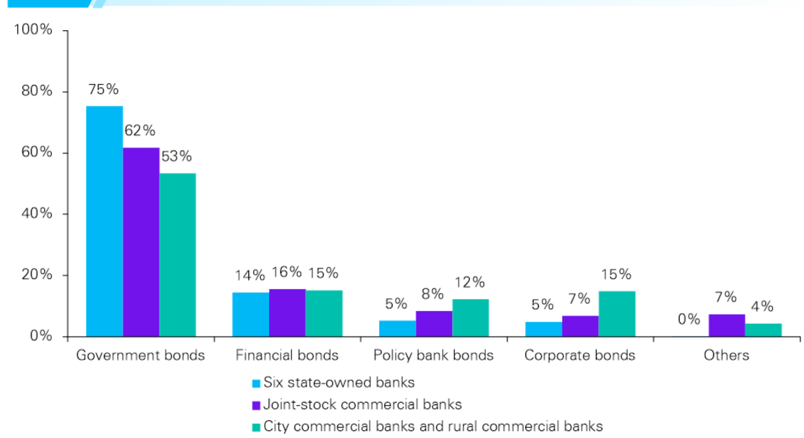
Source: Summarised findings from listed banks' 2023 annual reports, and KPMG analysis

Bond investments of joint-stock commercial banks accounted for 76% of the banks' financial investments, down 4.5 % YOY, indicating that they invest more in equity investment products.

Bond investments structure of listed banks

- Government bonds, financial bonds and policy bank bonds are the top 3 investment categories, accounting for 69%, 15% and 7% of the total bond investment respectively.
- Government bonds accounted for 75% of the bond investment of the big six, much higher than other banks.
- City commercial banks and rural commercial banks held a higher proportion of policy bank bond and corporate bonds than the other two categories.

Figure 18 **Bond investment structure of listed banks (RMB trillions, %)**



Source: Summarised findings from listed banks' 2023 annual reports, and KPMG analysis

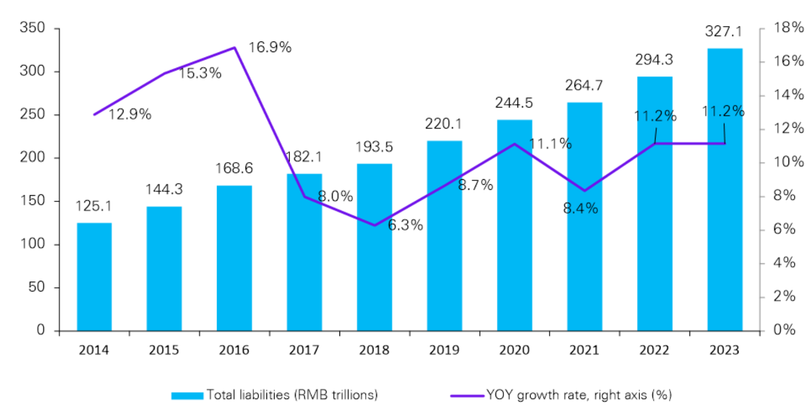
Liability perspective

- Deposits are the main driver of debt growth in the banking sector.
- Last year, capital market fluctuations led to low wealth management income; the gloomy housing market undermined residents' willingness to buy a home, and an increase in residents' preventive savings contributed to a steady increase in deposits.
- According to the PBOC's survey statistics, more than 60% of residents chose "more savings deposits" in Q4 2023, the highest level since these statistics have been made available to the public.

Liabilities of listed banks

- In 2023, total liabilities of commercial banks amounted to RMB 327.1 trillion, up RMB 32.9 trillion or 11.2% YOY (Figure 19).
- Since 2022, the cost of liabilities has put pressure on banks' operations, and many banks have started to actively reduce deposit interest rates.
- The growth rate of deposits is expected to decline this year.

Figure 19 Total liabilities and liability growth rates of listed banks



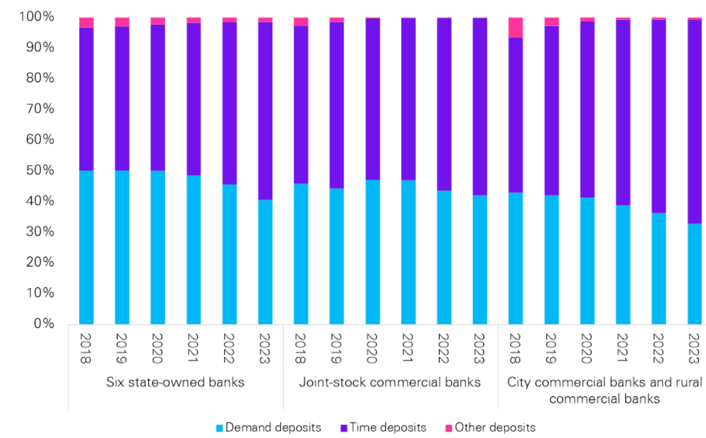
Source: Wind and KPMG analysis

Deposit maturity structure of listed banks

- Time deposits account for 59% of total deposits while personal deposits continue to grow.

- At the same time, the proportion of demand deposits at the listed banks in 2023 continues to decline, with demand deposits at 58 listed commercial banks accounting for 66.4% of total deposits, down 4.1 percentage points YOY.

Figure 20 **Deposit maturity structure of listed banks**

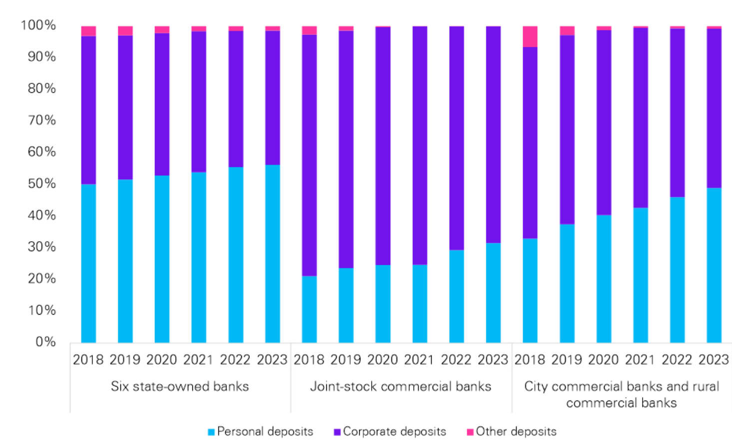


Source: Wind and KPMG analysis

Personal and corporate deposits

- Residents' income and employment expectations have declined, and willingness to consume is low, leading to an increase in personal deposits.
- Specifically, the share of personal deposits at the six state-owned banks, joint-stock commercial banks, city commercial banks and rural commercial banks is 56.3%, 31.5%and 48.9%, respectively, up by 0.7, 2.1, and 2.9 percentage points YOY.

Figure 21 **Proportion of personal and corporate deposits of listed commercial banks**



Source: Wind and KPMG analysis

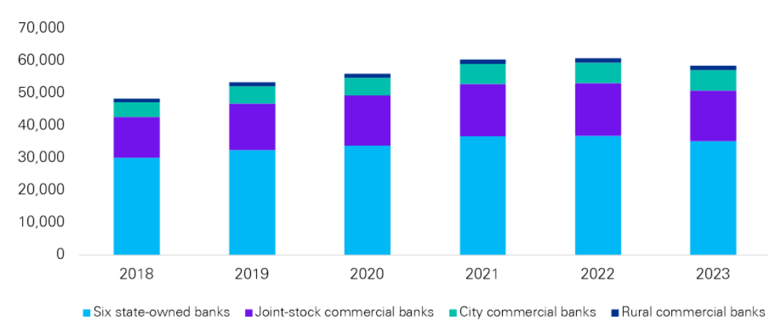
Profit Perspective

- The banking industry is facing pressure due to declining growth in operating income.
- In 2023, the country's economic recovery was not yet on solid footing, and corporate profits and consumer confidence were under pressure. Therefore, banks' interest income was affected by reduced credit demand from enterprises and individuals, and reductions in the market interest rate on loans further narrowed net interest margins, constraining interest income growth.
- Meanwhile, greater complexity and uncertainty in the domestic and international economic environment caused banks' risk management costs to rise, putting pressure on operating income.

Operating incomes of listed banks

- In 2023, the 58 listed banks generated operating income of RMB 5.86 trillion, representing a YOY decline of 3.7%.
- In terms of bank categories, only city commercial banks saw an increase in operating income, notching a small rise of 0.4%, while the operating income of other types of banks declined to varying degrees.

Figure 23 Operating incomes of listed banks (RMB 100 millions)

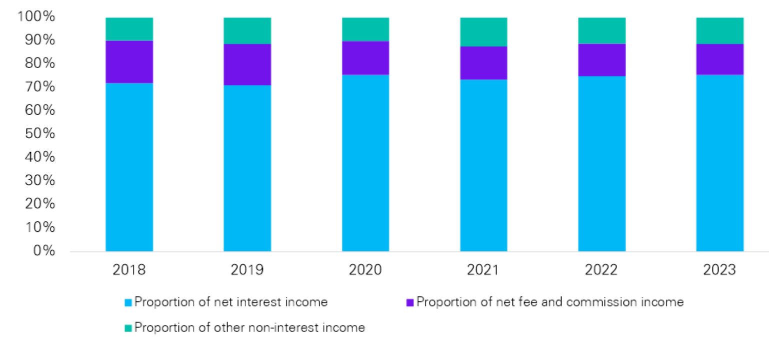


Source: Wind and KPMG analysis

Components of operating income

- In 2023, the 58 listed banks derived
  - RMB 4.4 trillion, or 75.5% of their operating income, from net interest income;
  - RMB 773.4 billion, or 13.2%, from net fee and commission income;
  - RMB 664.8 billion, or 11.3%, from other non-interest income.
- Banks generate most of their operating income from net interest income, and net interest income as a share of total operating income has climbed from 71.9% in 2018 to 75.5% in 2023.

Figure 24 Components of listed banks' operating income (%)

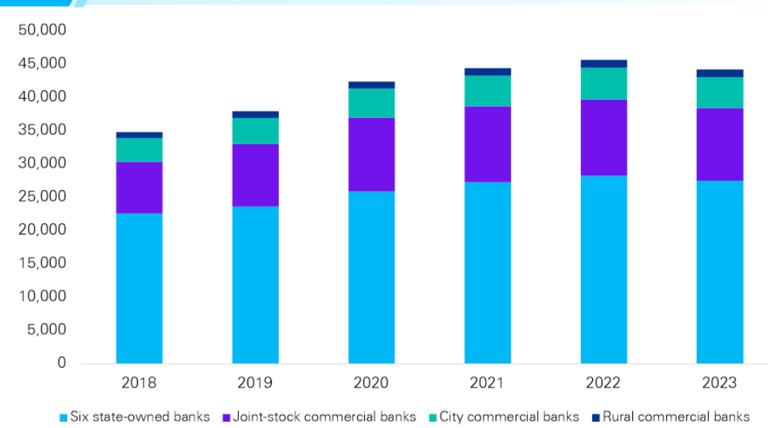


Source: Wind and KPMG analysis

Net interest income of listed banks

- Net interest income declines by 3.0% YOY, but rises as a share of total operating income.
- Since 2023, banks' loan yield ratio on the asset side has been declining.
- Meanwhile, the cost of interest-bearing deposits on the liability side has risen slightly, and net interest margins have reached a historical low, driving down net interest income.

Figure 25 Net interest income of listed banks (RMB 100 millions)

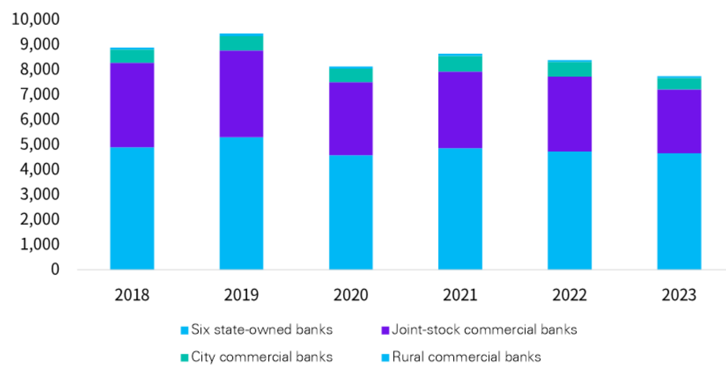


Source: Wind and KPMG analysis

Income derived from intermediary business

- Income derived from intermediary business falls 7.7% YOY.
- In 2020, due to the impact of the COVID-19pandemic and other factors, listed banks' fee and commission income contracted significantly.
- Since then, due to the uneven economic recovery, tightening financial regulation, capital market volatility, and pressure to cut fees and charges, net fee and commission income has trended downward.

Figure 26 **Net fee and commission income of listed banks (RMB 100 millions)**

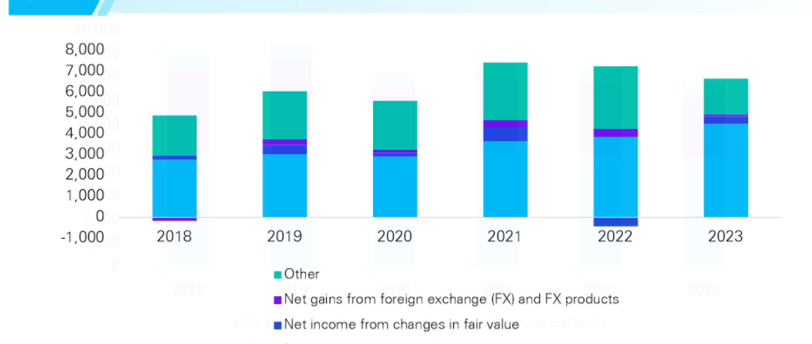


Source: Wind and KPMG analysis

Other non-interest income

- Other non-interest income declines by 2.8% YOY
- Other non-interest income mainly include
  - investment income,
  - net income from changes in fair value,
  - net income from exchange and exchange rate products,
  - net income from other non-operating business.
- These incomes tend to be more sensitive to macro environment changes, capital market volatility and RMB exchange rate trends, among other factors.

Figure 27 **Other non-interest income of listed banks (RMB 100 millions)**

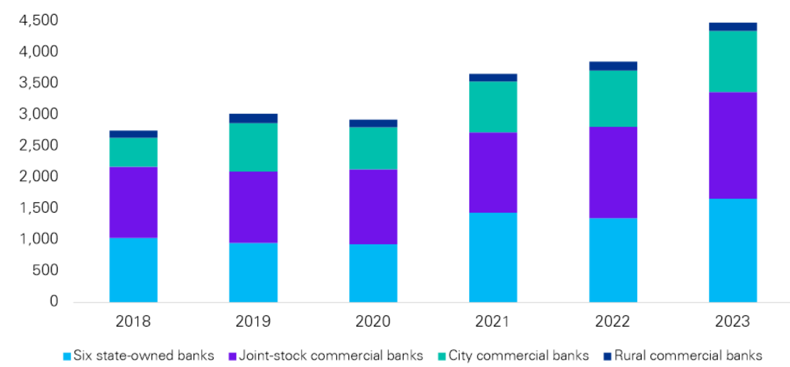


Source: Wind and KPMG analysis

Investment income of listed banks

- In 2023, the investment income of the 58 listed banks stood at RMB 447.9 billion, representing growth of RMB 62.6 billion or 16.2% YOY, with the six state-owned banks and joint-stock commercial banks seeing the strongest growth.

Figure 28 Investment income of listed banks (RMB 100 millions)

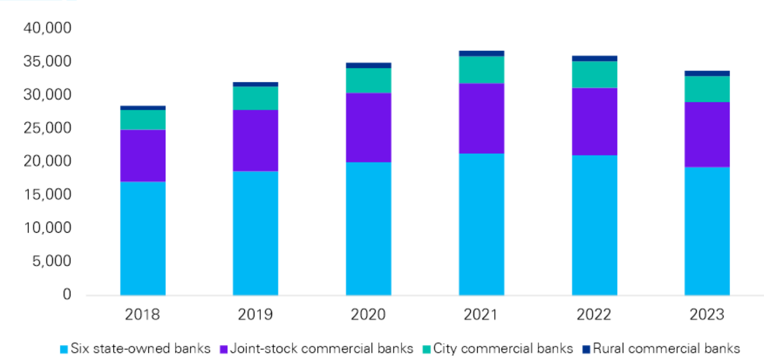


Source: Wind and KPMG analysis

Operating expenses of listed banks

- The 58 listed banks' operating expenses began to decline after peaking in 2021, and they decreased to RMB 3.38 trillion in 2023, down 6.2%YOY, continuing a downward trend.
- The six state-owned banks see a decline of 8.6%.

Figure 31 Operating expenses of listed banks (RMB 100 millions)

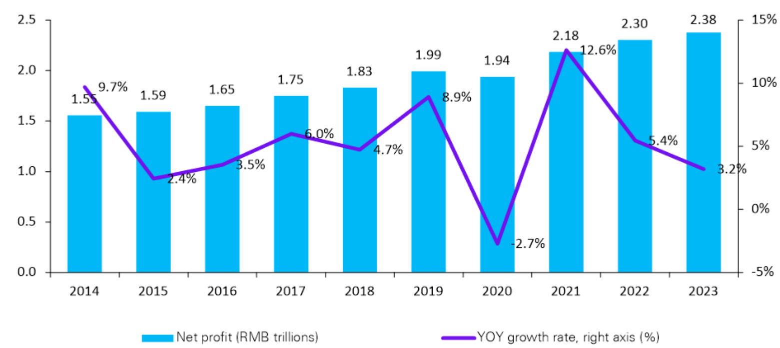


Source: Wind and KPMG analysis

Net profit growth of listed banks

- In 2023,commercial banks generated net profits of RMB 2.38 trillion, representing YOY growth of 3.2%, which was 2.2 percentage points lower than in 2022 (Figure 35).
- 2023 marked the second consecutive year of declining net profit growth for commercial banks.

Figure 35 Net profits and growth rates of listed banks

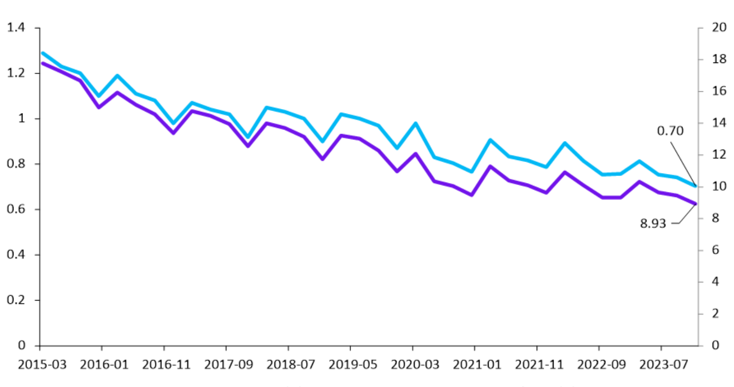


Source: Wind and KPMG analysis

Returns of listed banks (ROA) and (ROE)

- Both the average return on assets (ROA) and average return on equity(ROE) of commercial banks continued to fall in 2023, reaching the lowest levels in more than a decade.
- In 2023,commercial banks' ROA fell by0.06 percentage points YOY to 0.70%, while their ROE dropped by 0.40 percentage points YOY to 8.93%(Figure 39).

Figure 37 Average quarterly ROA and average quarterly ROE of listed banks



Source: Wind and KPMG analysis

Conclusions

- Steady Growth of Business Scale
  - By the end of 2023, the total assets and total liabilities of banking financial institutions reached 417.29 trillion yuan and 383.12 trillion yuan respectively, with year-on-year growth of 9.9% and 10.1%.
- Optimization of Asset Business Structure
  - The balance of currency loans of financial institutions reached 242.2 trillion yuan, with a y-o-y growth of 10.1%. In corporate loans, the scale of manufacturing, science and technology, and green credit expanded rapidly, inclusive micro and small loans grew relatively fast, and agricultural-related and poverty alleviation loans continued to increase.
- Sound Development of Liability Business
  - The balance of domestic and foreign currency deposits of financial institutions reached 289.91 trillion yuan, with a year-on-year growth of 9.6%. The trend of deposit regularization strengthened, and the proportion of household time deposits and other deposits increased to 71.41%.
- Decline in Intermediate Business Income
  - Affected by fee reduction and profit concession policies and capital market fluctuations, the overall scale of intermediate business income declined, and the scale of non-traditional intermediate business decreased significantly. However, investment banking, wealth management, and custody businesses showed a marginal improvement trend.
- Active Support for the Real Economy
  - The six major state-owned banks' loans were mainly invested in key fields such as green finance, inclusive finance, advanced manufacturing, and strategic emerging industries.

Challenges of Commercial banks in China

- Unreasonable Business Structure:
  - **Single Source of Income**: Currently, the main source of income for commercial banks in China is still interest income, and the proportion of non-interest income is relatively low.
  - **Insufficient Development of Intermediate Business**: Compared with advanced international banks, the intermediate business of commercial banks in China has developed relatively slowly, with insufficient innovation capabilities.
- Ineffective Support for the Real Economy:
  - **Irrational Allocation of Credit Resources**: Some banks tend to concentrate their credit extensions on big cities, large enterprises, while providing relatively insufficient financial support to small enterprises, rural areas, and poverty areas.
  - **Disconnection between Financial Innovation and the Real Economy's Demands**: Some banks' financial innovation products are more aimed at pursuing short-term benefits, and are disconnected from the actual needs of the real economy.
- Lagging Digital Transformation:
  - **Insufficient Investment in Technology**: Although banks have increased their investment in technology in recent years, there is still a large gap compared with fintech companies.
  - **Weak Data Governance Capability**: Banks possess a large amount of customer data, but there are still many problems in data governance, such as low data quality, inconsistent data standards, and potential risks to data security.

Outlook of China's banking industry

- Steady Growth of Scale and Optimization of Structure
  - The scale of assets and liabilities of banking financial institutions continues to expand.
  - In terms of asset business, credit will be more precisely focused, with the medium- and long-term loans of infrastructure-related industries, loans of the manufacturing industry showing relatively fast growth. For liability business, banks will optimize their liability structures, control costs, prevent risks, and enhance the sustainability of serving the real economy.
- New Opportunities for Intermediate Business Development
  - Banks will further standardize the development of intermediate business and explore the transformation of traditional intermediate business such as payment and settlement and bank cards. The asset custody business is expected to experience new growth, and the investment banking business will strengthen its support for the real economy.
- Continuous Improvement of Risk Management Capacity
  - With the improvement of financial risk prevention and control policies, banks will strengthen asset classification, promote the diversification and refinement of risk prevention indicators, and enhance the identification ability of non-performing assets. They will also vigorously dispose of and revitalize non-performing assets through multiple channels, continuously strengthen credit risk management.
- Accelerated Digital Transformation
  - Banks will deepen digital transformation by leveraging advanced technologies such as intelligent models and generative AI to improve business efficiency and risk management capabilities, while exploring how to release technological efficiency within the regulatory framework.